The UK Pension Guide for Dubai Expats

State Pension, workplace pensions, and the QROPS warning

By Patrick — DubaiExpat
dubaiexpat.co.uk

UK Pension Guide for Dubai Expats State Pension, workplace pensions, and QROPS — what you need to know dubaiexpat.co.uk Moving to Dubai doesn't mean losing your UK pension — but it does mean making decisions that will affect your retirement income for decades. This guide covers the three pension types you need to understand and the key actions to take. 1. UK State Pension The UK State Pension is based on your National Insurance (NI) record. You need 35 qualifying years for the full amount (currently £221.20/week or £11,502/year). You need a minimum of 10 years to get anything at all. Question Answer Can I still get it from Dubai? Yes. The State Pension is payable worldwide. It will be paid into a UK or international bank account. Will it increase each year? Yes — the UAE has a reciprocal arrangement so your pension increases with the triple lock, unlike some countries where it's frozen. How do I check my record? Log into gov.uk/check-state-pension. It shows your current NI years and forecast pension amount. Can I fill gaps from abroad? Yes. Pay voluntary Class 2 NI contributions (approx. £3.45/week). Contact HMRC International NI office and request form CF83. How long can I backfill? Up to 6 years. Don't leave it too long or you'll permanently lose years. Is it worth paying? Almost always yes. Each qualifying year adds roughly £275/year to your pension for life. At £179/year in contributions, the payback is fast. 2. UK Workplace Pensions If you had a UK employer, you almost certainly have a workplace pension (auto-enrolment has been mandatory since 2012). Here's what to do with it: Option Pros Cons Leave it in the UK No action needed. Keeps growing in Can't contribute more. May have limited scheme existing fund. Protected by UK regulation. fund choices. Need to manage it from No tax charge. abroad. Consolidate into a UK Full control over investments. Can Transfer takes time. Some providers won't SIPP combine multiple small pots. Better fund accept non-UK residents. Annual fees selection. No tax charge. vary. Transfer to a QROPS Access before UK pension age. Potential 25% Overseas Transfer Charge if QROPS currency flexibility. May suit long-term is outside UK. High fees. Fewer non-residents. protections. Irreversible. WARNING: Do not transfer your pension to a QROPS without independent financial advice. The 25% Overseas Transfer Charge applies to most transfers outside the UK. Many QROPS providers charge high ongoing fees. This is the most common pension mistake UK expats make in Dubai. 3. Pensions in Dubai — What Exists? Dubai has no state pension system for expats. The DEWS (DIFC Employee Workplace Savings) scheme only applies to DIFC-based employers. Most Dubai expats have two options for retirement savings: End-of-service gratuity: UAE labour law entitles you to a lump sum when you leave your employer — roughly 21 days' salary per year for the first 5 years, then 30 days per year after that. It's not a pension, but it's not nothing. Self-directed investing: With no income tax in Dubai, your take-home pay is higher. Many expats invest the difference themselves via platforms like Interactive Brokers, Sarwa, or StashAway (available in UAE). This is effectively your Dubai pension — there's no employer or government scheme doing it for you. Your Action Plan # Action How 1 Check your NI record gov.uk/check-state-pension — how many years do you have? 2 Set up voluntary NI payments Contact HMRC International NI team, request CF83 form 3 Find all your workplace pensions Use the Pension Tracing Service at gov.uk/find-pension-contact-details 4 Consolidate small pots (optional) Transfer to a SIPP if you have multiple small workplace pensions 5 Do NOT transfer to a QROPS Get a recommendation from a regulated UK financial adviser without IFA advice 6 Start saving the tax difference Calculate your UK vs Dubai take-home pay difference and invest it 7 Review annually Check your NI record and pension forecasts once a year Created by dubaiexpat.co.uk — The expat's guide to moving from the UK to Dubai. This guide is for general information only and is not financial advice. Pension rules change — always verify with HMRC or a qualified financial adviser. Last updated April 2026.